

**SUBSTITUTE FOR
HOUSE BILL NO. 5501**

A bill to amend 1994 PA 451, entitled
"Natural resources and environmental protection act,"
by amending sections 30311b and 30311d (MCL 324.30311b and
324.30311d), section 30311b as added by 2009 PA 120 and section
30311d as amended by 2013 PA 98, and by adding section 30311e.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 30311b. (1) A permit issued under this part ~~shall~~**is** not
2 ~~be~~ valid for more than 5 years.

3 (2) The department may establish a reasonable time when the
4 construction, development, or use authorized under any permit
5 issued under this part ~~is to~~**must** be completed or terminated.

6 (3) The department may impose on ~~any~~**a** permit or authorization
7 under a general permit under this part conditions designed to do



1 any of the following:

2 (a) Remove or reduce an impairment to wetland benefits, as set
3 forth in section 30302, that would otherwise result from the
4 project.

5 (b) Improve the water quality that would otherwise result from
6 the project.

7 (c) Remove or reduce the effect of a discharge of fill
8 material.

9 **(4) Any condition imposed on a permit or authorization under a**
10 **general permit under subsection (3) that is intended to mitigate**
11 **impacts on wetlands must comply with section 30311e.**

12 **(5) (4)–**The department may impose a condition on an
13 authorization under a general permit under subsection (3) only
14 after consultation with the applicant or applicant's agent.

15 Sec. 30311d. (1) The department may impose as a condition on
16 ~~any~~**a** permit, other than a general permit, under this part a
17 requirement for compensatory wetland mitigation. The department may
18 approve 1 or more of the following methods of compensatory wetland
19 mitigation:

20 (a) The acquisition of approved credits from a wetland
21 mitigation bank. The department shall not require a permit
22 applicant to provide compensatory wetland mitigation under
23 subdivision (b), (c), or (d) if the applicant prefers and qualifies
24 to use approved credits from the wetland mitigation bank to provide
25 required compensatory wetland mitigation under this subdivision.

26 (b) The restoration of previously existing wetland. The
27 restoration of previously existing wetland is preferred over the
28 creation of new wetland where none previously existed.

29 (c) The creation of new wetlands, if the permit applicant



1 demonstrates that ecological conditions necessary for establishment
2 of a self-sustaining wetland ecosystem exist or will be created.

3 (d) The preservation of exceptional wetlands.

4 (2) If compensatory wetland mitigation under subsection
5 (1)(b), (c), or (d) is required, a permit applicant shall submit a
6 mitigation plan to the department for approval. ~~In approving a~~
7 ~~compensatory mitigation plan, the~~ **The** department shall consider how
8 the location and type of wetland mitigation supports the
9 sustainability or improvement of aquatic resources in the watershed
10 where the activity is permitted **when approving a compensatory**
11 **mitigation plan**. The permit applicant shall provide for permanent
12 protection of the wetland mitigation site. The department may
13 accept a conservation easement to protect wetland mitigation and
14 associated upland.

15 (3) If a permittee carries out compensatory wetland mitigation
16 under subsection (1)(b), (c), or (d) in cooperation with public
17 agencies, private organizations, or other parties, the permittee
18 remains responsible for the compensatory wetland mitigation to the
19 extent otherwise provided by law.

20 (4) ~~The~~ **Subject to section 30311e(3), the** department may
21 require financial assurance to ensure that compensatory wetland
22 mitigation is accomplished as specified. To ensure that wetland
23 benefits are replaced by compensatory wetland mitigation, the
24 department may release financial assurance only after the permit
25 applicant or mitigation bank sponsor has completed monitoring of
26 the mitigation site and demonstrated compliance with performance
27 standards in accordance with a schedule in the permit or mitigation
28 banking agreement.

29 (5) If compensatory wetland mitigation is required, in setting



1 the mitigation ratio the department shall consider the method of
 2 compensatory mitigation, the likelihood of success, differences
 3 between the functions lost at the impacted site and the functions
 4 expected to be produced by the compensatory mitigation project,
 5 temporary losses of aquatic resource functions, the difficulty of
 6 restoring or establishing the desired aquatic resource type and
 7 functions, and the distance between the affected aquatic resource
 8 and the mitigation site.

9 (6) For agricultural activities, a permit applicant may
 10 provide for protection and restoration of the impacted site under a
 11 conservation easement with the department as part of mitigation
 12 requirements. A permit applicant may make a payment into the
 13 stewardship fund, if established under subsection (7), as part of
 14 mitigation requirements, as an alternative to providing financial
 15 assurances required under subsection (4).

16 (7) The department may establish a stewardship fund in the
 17 state treasury. The state treasurer may receive money or other
 18 assets from any source for deposit into the fund. The state
 19 treasurer shall direct the investment of the fund ~~. The state~~
 20 ~~treasurer shall~~ **and** credit to the fund interest and earnings from
 21 fund investments. Money in the fund at the close of the fiscal year
 22 ~~shall remain~~ **remains** in the fund and ~~shall~~ **does** not lapse to the
 23 general fund. The department ~~shall be~~ **is** the administrator of the
 24 fund for auditing purposes. The department shall expend money from
 25 the fund, ~~upon~~ **on** appropriation, only to develop mitigation for
 26 impacted sites or as an alternative to financial assurance required
 27 under subsection (4).

28 (8) ~~By 1 year after the effective date of the amendatory act~~
 29 ~~that added this subsection, the department shall submit to the~~



~~office of regulatory reform for informal review revised~~
~~administrative~~ **The department shall promulgate** rules ~~on mitigation~~
in accordance with the administrative procedures act of 1969, 1969
PA 306, MCL 24.201 to 24.328, that do all of the following:

(a) Create an expedited permit review process if an applicant
 submits preliminary designs, proposed adaptive monitoring
 requirements, and proof of financial assurance, if applicable.

(b) Regarding mitigation, all of the following:

(i) ~~(a) Reduce the preference for~~ **Except in cases where**
transportation infrastructure is present, promote on-site
mitigation and encourage internal reconfiguration of wetlands
within development parcels.

(ii) ~~(b) Allow flexibility in mitigation ratios for uses of~~
wetlands, which must include offering a 1:1 ratio for wetlands
relocated within the same development parcel if ecological function
of the development parcel is maintained or improved.

(iii) ~~(c) Allow a reduction of mitigation ratios when approved~~
credits from a wetland mitigation bank are used.

(iv) ~~(d) Allow consideration of additional ecologically~~
beneficial features.

(v) ~~(e) Allow any excess mitigation for any project to be~~
credited to another project at a later date.

(vi) **Provide design incentives, including, but not limited to,**
density bonuses and open-space credits.

~~(9) The department shall submit revised administrative rules~~
~~that encourage the development of wetland mitigation banks to the~~
~~office of regulatory reform for informal review within 1 year after~~
~~the effective date of the amendatory act that added this~~
~~subsection. The rules shall do all of the following:~~



1 **(vii)** ~~(a)~~ Enlarge mitigation bank service areas. ~~However, a~~ **A**
 2 **mitigation bank** service area ~~shall~~ **must** be located within the same
 3 watershed or ecoregion as the permitted project or activity, ensure
 4 no net loss of the wetland resources, and protect the predominant
 5 wetland functions of the service area. The department shall
 6 consider enlarging the size of ecoregions for mitigation bank
 7 service areas.

8 **(viii)** ~~(b)~~ Allow earlier release of credits if the benefits of a
 9 mitigation bank have been properly established and the credits are
 10 revocable or covered by a financial assurance.

11 **(ix)** ~~(c)~~ Allow wetland preservation to be used in areas where
 12 wetland restoration opportunities do not exist, if an unacceptable
 13 disruption of the aquatic resources will not result.

14 **(x)** Allow developers to buy temporary mitigation credits to
 15 offset time delays while permittee-responsible mitigation is
 16 completed. Credits can be retired or reassigned once the site is
 17 built and certified. As used in this subparagraph, "temporary
 18 mitigation credits" means credits generated by an approved wetland
 19 mitigation bank or other department-approved source that may be
 20 used to offset wetland impacts for a limited period of time.

21 **(xi)** Allow off-site mitigation in cases where transportation
 22 infrastructure is present.

23 **(9)** ~~(10)~~ The department shall establish a wetland mitigation
 24 bank funding program under part 52 that provides grants and loans
 25 to eligible municipalities for the purposes of establishing
 26 mitigation banks.

27 **(10)** Not later than 1 year after the effective date of the
 28 amendatory act that added this sentence, the department shall
 29 develop guidelines that describe the best practices for on-site



1 mitigation and internal reconfiguration of wetlands within
2 development parcels. The guidelines must include templates for
3 monitoring plans and site design proposals. The department shall
4 make the guidelines available on the department's website.

5 (11) In addition to the requirements under this section,
6 compensatory wetland mitigation must comply with section 30311e.

7 (12) As used in this section, "transportation infrastructure"
8 means roads, bridges, or aeronautics infrastructure projects.

9 Sec. 30311e. (1) Subject to subsection (2), mitigation
10 activities must be completed concurrently with other permitted
11 activities, unless the department and the permittee agree to an
12 alternative schedule.

13 (2) Mitigation activities may occur on a time-adjusted
14 schedule for seasonal hydrology or construction conditions or in
15 stages based on the development phasing plans of other permitted
16 activities. If a permittee opts to complete mitigation activities
17 on a time-adjusted schedule, the permittee shall provide the
18 department with a justification of the need for the time-adjusted
19 schedule and a start date for the mitigation activities. If a
20 permittee opts to complete mitigation activities in stages, the
21 permittee shall include in the development phasing plan performance
22 deadlines and reporting requirements for each stage of mitigation
23 activity.

24 (3) Except as otherwise provided in this subsection, the
25 department may require financial assurance to ensure that
26 mitigation activities are accomplished as specified. Financial
27 assurance is required for high-risk mitigation activities and
28 delayed mitigation activities, as described in subsection (4).
29 Financial assurance is not required for the following mitigation

activities:

(a) On a site that is 0.25 acres or less in size.

(b) That occur on the same site as the permitted activities.

(4) If the department and the permittee agree to an alternative schedule under subsection (1) that delays mitigation activities, the department shall require the permittee to provide financial assurance in the form of a bond in an amount equal to the estimated cost of completing the remaining mitigation activities, including monitoring and corrective actions, as determined by the department and based on a third-party cost estimate.

(5) As used in this section:

(a) "Development phasing plans" means a written, site-specific plan submitted as part of a permit application that includes the following information:

(i) The identity of the discrete stages of construction or land development over time, including the sequencing of site disturbance, infrastructure installation, and associated mitigation activities.

(ii) A demonstration of how wetland mitigation will be implemented, monitored, and completed in coordination with each development phase.

(b) "High-risk mitigation activities" means types of mitigation activity that have an elevated likelihood of failure to achieve required wetland performance standards due to factors including, but not limited to, complex hydrology manipulation, reliance on engineered water control structures, use of novel or experimental design approaches, limited site accessibility for long-term management, or implementation in areas with uncertain soil, groundwater, or watershed conditions.



1 (c) "Mitigation activities" means activities performed to
2 avoid, minimize, rectify, reduce, or compensate for impacts to
3 wetlands, including, but not limited to, wetland restoration,
4 creation, enhancement, preservation, relocation, internal
5 reconfiguration within a development parcel, monitoring,
6 maintenance, and adaptive management, as required by a permit or
7 authorization issued under this part.